

SELECTING THE CATEGORIES WITHIN EQUITY MUTUAL FUNDS

Once we select the mutual fund category, we know how to select the best mutual fund within the category. To keep it simple, we will stick to the basic ones as they work just as well. The selection of category depends on the risk-taking ability. Let us understand the categories for equity-related mutual funds.

CATEGORY RISK-TAKING ABILITY	SMALL CAP	MID CAP	LARGE CAP/ VALUE FUNDS	EXPERIMENTAL/ HIGH RISK*
HIGH ABILITY > 2.5	20%**	30%	40%	10%
MODERATE ABILITY 2 - 3.5	—	40%	50%	10%
LOW ABILITY < 2	—	20%	80%	—

*Experimental or higher risk categories – Focused funds/ real estate/ Global funds/ sector specific funds etc.

**Here, 20% means 20% of the equity portion. We can invest using Mutual Fund as well as ETF, both work great.